

A

Accounting 2

chapter 1

Accounting for Receivables

A

1

Accounts Receivable
Merchandise

2

Notes Receivable

3

Other Receivables

1

Selling merchandise

Assume that Jord Co. on **July 1**, 2017, **sells merchandise** on account to Polo Company for **\$1,000** terms **2/10, n/30**. Prepare the journal entry to record this transaction on the books of Jord Co



Jul. 1	Accounts Receivable	1,000
	Sales Revenue	1,000

2 Return & Allowance

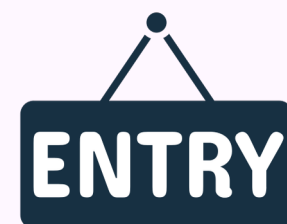
On **July 5**, Polo **returns merchandise** worth **\$100** to Jord Co.



Jul. 5	Sales Returns and Allowances	100	
	Accounts Receivable		100

3 Receive payment

On **July 9**, Jord **receives payment** from Polo Company for the balance due



Jul. 9	Cash	882	
	Sales Discounts (\$900 x .02)	18	
	Accounts Receivable		900

ALERT

- Merchandise cost
 - cogs cost
- Cogs
Mershandise

BSMGA

1 Selling merchandise

→ AR
Sales Revenue

2 Return & Allowance

→ Return and allowance
AR

3 Receive payment

→ with discount
cash
Sales discount

→ without discount
cash
AR

1 Estimate

Valuing Accounts Receivable

BSMGA

A company has \$100,000 in credit sales during the year. **December 31**, \$35,000 remains uncollected. The manager **estimates \$12,000** will be uncollectible

ENTRY Dec. 31 Bad Debt Expense 12,000
Allowance for Doubtful Accounts 12,000

2 Written off

On **July 10**, the accountant **writes off** a **\$200** uncollectible account from J. Smith

ENTRY Jul. 10 Allowance for Doubtful Accounts 200
Accounts Receivable 200

3 Pays the amount that had written off

On **July 20**, R. A. Ware **pays the \$500** amount that **Hampson had written off** on July 10. Hampson makes these entries:

ENTRY Jul. 20 Accounts Receivable 500
Allowance For Doubtful Accounts 500

Cash 500
Accounts Receivable 500

1 Estimate
Bad Debt Expense
AFDA

2 Written off
AFDA
AR

3 Pays the amount that had written off
AR
AFDA
Cash
AR

Estimating the allowance

Percentage of Sales

- Credit sales
- 2% of sales

Assume that Misr Company elects to use the percentage-of sales basis. It concludes that 1% of net credit sales will become uncollectible. If net credit sales for 2017 are \$800,000, the adjusting entry is

$\$800,000 \times 1\%$

ENTRY	Dec . 31	Bad Debt Expense	8,000	
		AFDA	8,000	

Quiz 1



Percentage of Receivables

- Accounting receivables
- 2% of receivables

DR
(+)

CR
(-)

Musicland has \$50,000 in accounts receivable and \$200 credit balance in Allowance for Doubtful Accounts. Five percent of receivables are uncollectible.

ENTRY	Dec . 31	Bad Debt Expense	2,300	
		AFDA	2,300	

SALE OF RECEIVABLES

أنت كشركة:

بعت بضاعة للعميل، ولسه مادفعش
بدل ما تستنى فلوسك من العميل، تروح تباع

ده لشركة تانية (Factor ال). الدين
يدفعك جزء كبير من الفلوس فوراً Factor ال
وياخد. هو الفلوس من العميل بعدين

Assume that Hendredon Furniture **\$600,000 of receivables** to Federal Factors. Federal Factors assesses a **service charge of 2% of the amount of receivables sold**. The journal entry to record the sale by Hendredon Furniture is as follows.

(\$600,000 x 2% = \$12,000)

ENTRY	Cash	588,000	
	fee Expense	12,000	
	Accounts Receivable		600,000

Credit Card Sales

أنت كشركة:

عميل دخل المحل وقرريشتري باستخدام بطاقة
ائتمان (زي Mastercard أو Visa).
بدل ما تستنى العميل يدفعك، البنك أو شركة
البطاقة بتقولك:
"إحنا هندفعك دلوقتي، وإحنا اللي هنستلم
الفلوس من العميل بعدين."
بس في مقابل كده، بياخدو نسبة عمولة صغيرة
(زي 2% أو 3%) من قيمة البيع.

Anita **purchases \$1,000** of compact discs for her restaurant from Karen Music Co., **using her Visa First Bank Card**. First Bank charges a **service fee of 3%**. The entry to **record this transaction by Karen Music Co.**, is as follows

ENTRY	Cash	970	
	fee Expense	30	
	Sales Revenue		1,000

Notes Receivable

Computing Interest

$$\begin{array}{ccccccc} \text{Face Value} & & \text{Annual} & & \text{Time in} & & \\ \text{of Note} & \times & \text{Interest} & \times & \text{Terms of} & = & \text{Interest} \\ & & \text{Rate} & & \text{One Year} & & \end{array}$$

مaturity date = اخر يوم (يوم الدفع)

Gambit Stores accepts from Leonard Co. a \$3,400, 90-day, 6% note dated May 10 in settlement of Leonard's overdue account.

What is the interest payable at the maturity date?

The interest payable at the maturity date is \$51, computed as follows.

$$\begin{array}{ccccccc} \text{Face} & \times & \text{Rate} & \times & \text{Time} & = & \text{Interest} \\ \$3,400 & \times & 6\% & \times & 90/360 & = & \$51 \end{array}$$

1 to settle an open account receivable

Callone Company wrote a \$1,000, two-month, 12% promissory note dated May 1, **to settle an open account receivable** with Wilma Co.

ENTRY	May 1	Notes Receivable	1,000
		Accounts Receivable	1,000

2 Maturity date = اخر يوم (يوم الدفع)

Callone Company wrote a \$1,000, two-month, 12% promissory note dated May 1, to settle an open account receivable with Wilma Co.

Prepare entry for the payment of the note on July 1

ENTRY	July 1	Cash	1,020
		Interest revenue	20
		Notes Receivable	1,000

3 Dishonors

Jackson dishonors her note.

ENTRY	Accounts Receivable
	Note Receivable
	Interest Revenue

BSMGA

بسجلب الفلوس
علطول من غير ما
احسب حاجه باخد
الرقم بس

f

1 to settle an open account receivable

Notes Receivable
Accounts Receivable

يوم الدفع بعمل الحسبه
Face x Rate x Time

2 Maturity date = اخر يوم (يوم الدفع)

Cash
Interest revenue
Notes Receivable

3 Dishonors

AR
NR
Interest revenue

Accounts receivable turnover

$$\text{Net Credit Sales} \div \text{Average Net Accounts Receivable} = \text{Accounts Receivable Turnover}$$

Beging + ending / 2

Average collection period

$$\text{Days in Year} \div \text{Accounts Receivable Turnover} = \text{Average Collection Period in Days}$$

365 days

AR turn over= Assets turn over
nafs kol 7aga

In 2013 Cisco Systems had net sales of \$38,029 million for the year. It had a beginning accounts receivable (net) balance of \$4,369 million and an ending accounts receivable (net) balance of \$5,470 million. Assuming that Cisco's sales were all on credit, its accounts receivable turnover is computed as follows

Net Credit Sales	÷	Average Net Accounts Receivable	=	Accounts Receivable Turnover
\$38,029	÷	$\frac{\$4,369 + \$5,470}{2}$	=	7.7 times

1. Total interest to be earned on a \$7,500, 5%, 90-day note is

- a. \$93.75 b. \$375.00 c. \$1,125.00 d. \$31.25

2. A company has net sales of \$489,600 and an average accounts receivable of \$40,800. What is its accounts receivable turnover?

- a. 0.08 b. 30.41 c. 1,341 d. 12.00 e. 111.78

3. Balus company sold accounts receivable worth \$125,000 on May 1. Balus is charged a 2.5% factoring fee. What is the amount of the fee?

- a. 3,125 b. 2,500 c. 2,400 d. 2,340

4. Polo Company wrote a \$1,000, two-month, 12% promissory note dated May 1, to settle an open account receivable with Wilma Co. in debit?

- a. AR 120 b. AR 1,000 c. NR 120 d. NR 1,000

5. On July 10, the accountant writes off a \$200 uncollectible account from J. Smith in credit?

- a. AFDA b. AR c. Cash d. Bad debit exp

6. Sold \$20,000 of merchandise to Potter Company, terms 2/10, n/30, so in debit will be

- a. Cash b. Note receivable c. Account receivable

7. Received \$5,859 cash from customers in payment on their accounts

f

8. Sold \$20,000 of accounts receivable to Main Bank. Main charges a 4% factoring fee.

9. Maturity date is

10. Aug. 15 Receives \$2,000 cash plus a \$10,000 note from JT Co. in exchange for merchandise that sells for \$12,000 (its cost is \$8,000). The note is dated August 15, bears 12% interest, and matures in 120 days.

chapter 2

Plant Assets, Natural Resources, and Intangible Assets

A

Plant Assets (Tangible):

- Equipment
- Land
- Building

التكلفة

1 Cost

2 العمر الافتراضي Useful life

3 البيع كخردة Salvage value

Intangible Assets:

- Brand
- Equity
- Patents
- Franchises
- Copyrights
- Goodwill
- Trademarks



بسجل الحاجات المهمة المقدرش اخذ
الحاجه من غيرها في ال cost
طب لو الحاجه مش مهمه بكتبها
في ال entry

Cost

Hayes Company acquires land at a cash cost of \$100,000. The property contains an old warehouse that is razed at a net cost of \$6,000 (\$7,500 in costs less \$1,500 proceeds from salvaged materials). Additional expenditures are the attorney's fee, \$1,000, and the real estate broker's commission, \$8,000.

Required: Determine the amount to be reported as the cost of the land.

	<u>Land</u>
Cash price of property (\$100,000)	\$100,000
Net removal cost of warehouse (\$7,500-\$1,500)	6,000
Attorney's fees (\$1,000)	1,000
Real estate broker's commission (\$8,000)	8,000
Cost of Land	<u>\$115,000</u>



cost = land

Land

115,000

Cash

115,000

كل الدفعتة بسجله في ال cash

- 1** Mason Co. buys a building for \$80,000. Additional costs include \$4,000 for remodeling and \$1,000 for legal fees related to the purchase.

Cost = \$85,000



Building	85,000
Cash	85,000

- 2** Lenard Company purchases a delivery truck at a cash price of \$22,000. Related expenditures are sales taxes \$1,320, painting and lettering \$500, motor vehicle driver license \$80, and a three-year accident insurance policy \$1,600.

Cost of Delivery Truck : \$23,820



Delivery Truck	23,820
License Expense	80
Prepaid Insurance	1,600

Cash 25,500

Quiz 2



- 3** Brighton Inc. purchases a delivery van for a cash price of \$25,000; additional costs include sales tax \$1,500, company logo painting \$700, annual registration fee \$100, and a one-year insurance policy \$1,200. Determine the cost of the van to be capitalized and prepare the journal entry for the purchase.

Cost = \$27,200



Delivery Van	27,200
Prepaid Insurance	1,200
Annual Registration Fee	100
Cash	28,500

Illustration: Barb's Florists purchased a small delivery truck on January 1, 2017.

Cost	\$13,000
Expected salvage value	\$1,000
Estimated useful life in years	5
Estimated useful life in miles	100,000

**Book value = Cost -
Accumulated depreciation**

1 Straight-line method

First, Depreciable cost

= Cost - salvage value

Second, Annual Deprecation exp

= Depreciable cost / useful life

Year	Depreciable Cost	Useful life (years)	=	Annual Depreciation Expense	Accumulated Depreciation	Book Value
2017	\$ 12,000	5		\$ 2,400	\$ 2,400	\$ 10,600
2018	12,000	5		2,400	4,800	8,200
2019	12,000	5		2,400	7,200	5,800
2020	12,000	5		2,400	9,600	3,400
2021	12,000	5		2,400	12,000	1,000



2017
Journal
Entry

Depreciation expense 2,400
 Accumulated depreciation 2,400

Illustration: Barb's Florists purchased a small delivery truck on January 1, 2017.

Cost	\$13,000
Expected salvage value	\$1,000
Estimated useful life in years	5
Estimated useful life in miles	100,000

**Book value = Cost -
Accumulated depreciation**

2 Units-of-activity method

First, Depreciable cost per unit

= Depreciable cost / total units of activity

Second, Annual Depreciation exp

= Depreciable cost per unit x units
of activity during the year

Year	Miles Driven	x	Cost per Unit	=	Annual Depreciation Expense	Accumulated Depreciation	Book Value
2017	15,000		\$ 0.12		\$ 1,800	\$ 1,800	\$ 11,200
2018	30,000		0.12		3,600	5,400	7,600
2019	20,000		0.12		2,400	7,800	5,200
2020	25,000		0.12		3,000	10,800	2,200
2021	10,000		0.12		1,200	12,000	1,000



2017
Journal
Entry

Depreciation expense 1,800
 Accumulated depreciation 1,800

Illustration: Barb's Florists purchased a small delivery truck on January 1, 2017.

Cost	\$13,000
Expected salvage value	\$1,000
Estimated useful life in years	5
Estimated useful life in miles	100,000

**Book value = Cost -
Accumulated depreciation**

3 Declining-balance method

First, Annual Depreciation

exp = Begging book value x
Declining balance rate

$$100/5 = 20$$

$$20 \times 2 = 40\%$$

Year	Beginning Book value	Declining Balance x Rate	= Annual Depreciation Expense	Accumulated Depreciation	Book Value
2017	\$13,000	40%	\$ 5,200	\$ 5,200	\$ 7,800
2018	7,800	40	3,120	8,320	4,680
2019	4,680	40	1,872	10,192	2,808
2020	2,808	40	1,123	11,315	1,685
2021	1,685	40	685*	12,000	1,000

* Computation of \$674 (\$1,685 x 40%) is adjusted to \$685.

ENTRY

2017
Journal
Entry

Depreciation expense 5,200
 Accumulated depreciation 5,200

Depreciation

① Cost التكلفة

② Useful life العمر الافتراضي

③ Salvage value البيع كخرده

Depreciation Methods:

$$\text{Book value} = \text{Cost} - \text{Accumulated depreciation}$$

① Straight-line method

First, Depreciable cost

$$= \text{Cost} - \text{salvage value}$$

Second, Annual Deprecation exp

$$= \text{Depreciable cost} / \text{useful life}$$

② Units-of-activity method

First, Depreciable cost per unit

$$= \text{Depreciable cost} / \text{total units of activity}$$

Second, Annual Depreciation exp

$$= \text{Depreciable cost per unit} \times \text{units of activity during the year}$$

③ Declining-balance method

First, Annual Depreciation

$$\text{exp} = \text{Begging book value} \times \text{Declining balance rate}$$

Year

Rule annual dep exp
علي حسب ال Method

$$\text{Annual Depreciation exp} = \text{Book value} - \text{Accumulated Depreciation}$$

الحاجات دي ثابتة ف اي جدول

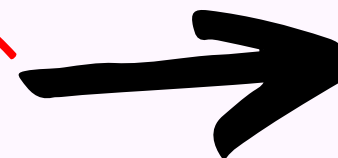
Companies dispose of plant assets in three ways

1 Sale

2 Retirement

3 Exchange

Retirement



Debit : Accumulated Depreciation
Credit: the asset account

Cost → Equipment
Sales → Cash
Acc → Acc

1

Cost = Accumulated

Accumulated Depreciation
printers

2

Cost > Accumulated (loss)

Accumulated Depreciation
Loss on disposal
printers

3

Cost < Accumulated (gain)

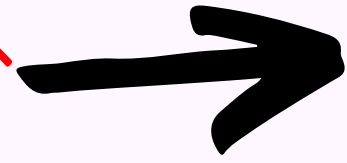
Accumulated Depreciation
Gain on disposal
printers

Sunset Company discards delivery equipment that cost \$18,000 and has accumulated depreciation .

Prepare the journal entry if the accumulated deprecation is equal

1. Accumulated deprecation= 18,000
2. Accumulated deprecation= 14,000
3. Accumulated deprecation= 20,000

Sale



Debit: cash

Debit : Accumulated Depreciation

Credit: the asset account

f

1

Selling price (P) = Book value

Cash

Accumulated dep

Equipment

2

Selling price (P) < Book value

(loss)

Cash

Accumulated dep

loss on disposal

Equipment

3

Selling price (P) > Book value

(gain)

Cash

Accumulated dep

Gain on disposal

Equipment

On July 1, 2017, Wright Company sells office furniture for \$16,000 cash. The office furniture originally cost \$60,000. As of January 1, 2017, it had accumulated depreciation of \$41,000.

Wright sells it for \$20,000

Wright sells it for \$19,000

Depletion

- Companies generally use **units-of-activity method**

Step 1

$$\frac{\text{Total Cost} - \text{Salvage Value}}{\text{Total Estimated Units Available}} = \text{Depletion Cost per Unit}$$

Step 2

Debit → Inventory for the total depletion
Credit → Accumulated Depletion

- 1** Lane Coal Company invests \$5 million in a mine estimated to have 1 million tons of coal and no salvage value

$$\frac{\text{Total Cost} - \text{Salvage Value}}{\text{Total Estimated Units Available}} = \text{Depletion Cost per Unit}$$
$$\frac{\$5,000,000}{1,000,000} = \$5.00 \text{ per ton}$$

- 2** Lane Coal Company invests \$5 million in a mine estimated to have 1 million tons of coal and no salvage value. In the first year, Lane extracts and sells 250,000 tons of coal. Lane computes the depletion expense as follows

$$\begin{aligned} \$5,000,000 \div 1,000,000 &= \$5.00 \text{ depletion cost per ton} \\ \$5.00 \times 250,000 &= \$1,250,000 \text{ annual depletion expense} \end{aligned}$$



Inventory (coal)	1,250,000
Accumulated Depletion	1,250,000

Intangible Assets:

- Brand
- Equity
- Patents
- Franchises
- Copyrights
- Goodwill
- Trademarks

Intangible assets

A

Step 1

Cost / Useful life = Annual Exp

Step 2

Debit → Amortize to expense.
Credit → asset account. (Patent)

National Labs purchases a patent at a cost of \$60,000. National estimates the useful life of the patent to be eight years. Prepare the journal entry to record the annual amortization expense.

Step 1

Cost	\$60,000
Useful life	÷ 8
Annual expense	<u>\$ 7,500</u>

Step 2



Amortization Expense	7,500
Patents	7,500

1. On January 1, 2024, Logan Co. invested \$80,000 in a small quarry estimated to contain 100,000 tons of stone. During the first year, 10,000 tons were extracted amount to be debited to Depletion Expense for the year?

A. \$8,000 B. \$10,000 C. \$12,000 D. \$16,000

2. A company sold a delivery truck that originally cost \$180,000 for \$90,000. The accumulated depreciation on the truck was \$60,000 at the time of sale. What is the gain or loss recorded on the sale of this truck? A. Gain of \$30,000 B. Loss of \$30,000 C. Gain of \$60,000

3. A company discards equipment that cost \$10,000 with \$7,000 in accumulated depreciation. No cash is received. What is the loss?

A. \$0 B. \$3,000 C. \$7,000 D. \$10,000

4. intangible assets will not include

- a. trademark
- b. goodwill
- c. copyright
- d. none of the above

Exercise 1

Jan. 1 Retired a piece of machinery that was purchased on January 1, 2007. The machine cost \$62,000 on that date. It had a useful life of 10 years with no salvage value.

June 30 Sold a computer that was purchased on January 1, 2014. The computer cost \$40,000. It had a useful life of 5 years with no salvage value. The computer was sold for \$14,000.

Exercise 3

Onslow Company purchased a used machine for \$288,000 cash on January 2. On January 3, Onslow paid \$8,000 to wire electricity to the machine. Onslow paid an additional \$1,600 on January 4 to secure the machine for operation. The machine will be used for six years and have a \$34,560 salvage value. Straight-line depreciation is used. On December 31, at the end of its fifth year in operations, it is disposed of.

Prepare journal entries to record the machine's disposal under each separate situation:

- (a) it is sold for \$23,000 cash.
- (b) it is sold for \$92,000 cash.

Exercise 2

Numo Company purchased a new machine on October 1, 2017, at a cost of \$145,000. The company estimated that the machine will have a salvage value of \$25,000. The machine is expected to be used for 20,000 working hours during its 5-year life.

Required:

Compute the depreciation expense under the following methods for the year indicated.

- (a) Straight-line for 2017.
- (b) Units-of-activity for 2017, assuming machine usage was 3,400 hours.
- (c) Declining-balance using double the straight-line rate for 2017 and 2018.



*Thank
You*